

enough—maybe 25% to 50%—to become rich in reality and not just on paper. Then, you can let the rest ride.

Doing this accomplishes several things: First, it locks in sufficient wealth to eliminate a lot of life's money-related worries. Second, it still leaves you with plenty of upside if the best-case scenario turns out to come true. And third, it protects you from a lifelong regret in case of a dotcom-like collapse (I know, that's impossible!).

Note this strategy applies to single stock holdings, not asset classes. (I think of Bitcoin, now a trillion-and-a-halfish market cap, like a huge tech company.) If this sounds a bit conventional, well, it might be, but think about it this way: The goal of life is not always to maximize your returns; sometimes, potential gains must be balanced against the possibility of losses. That's why we need to occasionally consider minimizing regrets.



The fixed-income portion of your portfolio is often overlooked. Let's dive into what you need to know.

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Regret theory traces its academic history to 1982, and was developed independently by numerous researchers, notably by Graham Loomes, Robert Sugden, David E. Bell, and Peter C. Fishburn.

[414](#) These two possibilities—a 10-fold increase versus a 90% drop—are roughly symmetrical in terms of math (but probably not probabilities). Both were possible; neither was analyst consensus at the time. The latter turned out to be what occurred.

[415](#) This isn't about loss aversion but regret-decision theory. Investment decisions are probabilistic exercises using imperfect information about an unknowable future. But that leaves out the human side of the equation. The potential emotional response of regret, when new information (e.g., price) becomes available, can be a crippling experience.